FY2026 Receivables Confirmations · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

Client	HANGS General Contracting LP
Period	Contract receivables, the affiliate receivable and retainage at June 30, 2026
Engagement	Year-end audit procedures for the owners, the bonding company and the lender: confirmation with customers, alternative procedures and tests of retainage and the allowance.
Prepared from	7 files: the trial balance, the aging, the contract schedule, the audit team's control log and the customers' replies, the July and August receipts and the controller's notes
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client, its customers, the bank or the bonding company.

Materiality, Proposed

Contract revenue for the year, the benchmark	$68,989,500.00
Materiality: 0.5% of revenue, rounded down	$340,000.00
Performance materiality: 75%	$255,000.00
Receivables and retainage tested	$11,076,385.00

What the Procedures Found

Procedure	What was found	Amount
Selection	99% of the balance confirmed with 10 customers chosen by size and risk	$9,857,910.00
Replies	Eight of ten customers replied; five agree to the cent and three differ, by	$2,026,850.00
In transit	Pier Nine's check of June 29, deposited July 2: no misstatement	$1,957,000.00
Credit	Kestrel Point's credit agreed June 18 was recorded in July (AR-01)	$28,600.00
Damages	Brindlewood withholds liquidated damages from the retainage release (AR-02)	$41,250.00
Silent	Tideflats paid in full after the year end; Corliss paid nothing and did not reply (AR-03)	$186,935.00
Retainage	Recomputed at 5% of billings, agreed to account 1250 and to three owners' replies	$1,161,125.00
Related party	HANGS Construction Development LP confirmed Juniper Row; not independent (RP-01)	$277,875.00

Signature: none. This memo is not an audit report and expresses no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

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Draft Findings Memo

Against Materiality

Known misstatements, added up (AR-01)	**$28,600.00**
Judgment: Brindlewood damages (AR-02)	$41,250.00
Judgment: Corliss allowance (AR-03)	$186,935.00
All three, if recorded	**$256,785.00**
Performance materiality	$255,000.00
Materiality	$340,000.00

What was done

The machine agreed the aging and the retainage to the trial balance, selected customers by size and by risk, checked the audit team’s control log against the selection and compared every reply with the books. It traced the silent customers to cash received after the year end, reconciled every difference to its cause, recomputed retainage from billings and tested whether an allowance is needed.

What the records support

The receivables exist and are owed, except as noted: five replies agree to the cent, Pier Nine’s difference is cash in transit, Tideflats paid in full, and retainage is 5% of billings on every active job. Most of the June 30 balance was collected by August 31.

What the CPA decides before concluding

1. Whether the client records AR-01. 2. Whether Brindlewood’s damages are collectible (AR-02). 3. The Corliss allowance (AR-03). 4. The Juniper Row disclosure (RP-01). 5. Materiality (MAT-01) and the representation letter (REP-01).

What the machine does not do

It does not give an audit opinion, sign anything, contact a customer or post an adjustment. Concluding is the CPA’s job; the machine stops here.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$68,989,500.00

Workbook: Planning!B15

Draft figure · the CPA reviews and concludes

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$340,000.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$255,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $255,000.00

=ROUND(B16*0.75,2)

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Planning · Receivables and Retainage Tested

$11,076,385.00

Workbook: Planning!B23

Draft figure · the CPA reviews and concludes

Planning!B23 = $11,076,385.00

=B20+B21+B22

Planning!B20 = $9,637,385.00

='E01 Trial Balance'!D10

E01 Trial Balance!D10 = $9,637,385.00

Planning!B21 = $277,875.00

='E01 Trial Balance'!D11

E01 Trial Balance!D11 = $277,875.00

Planning!B22 = $1,161,125.00

='E01 Trial Balance'!D12

E01 Trial Balance!D12 = $1,161,125.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D10, Trial Balance!D11, Trial Balance!D12

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Aging · Over 90 Days Past Due

$186,935.00

Workbook: Aging!B12

Draft figure · the CPA reviews and concludes

Aging!B12 = $186,935.00

=SUM('E02 Aging'!K8:K25)

E02 Aging!K8 = $0.00

E02 Aging!K9 = $0.00

E02 Aging!K10 = $0.00

E02 Aging!K11 = $0.00

E02 Aging!K12 = $0.00

E02 Aging!K13 = $0.00

E02 Aging!K14 = $0.00

E02 Aging!K15 = $0.00

E02 Aging!K16 = $0.00

E02 Aging!K17 = $186,935.00

E02 Aging!K18 = $0.00

E02 Aging!K19 = $0.00

E02 Aging!K20 = $0.00

E02 Aging!K21 = $0.00

E02 Aging!K22 = $0.00

E02 Aging!K23 = $0.00

E02 Aging!K24 = $0.00

E02 Aging!K25 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!K8, Aging!K9, Aging!K10, Aging!K11, Aging!K12, Aging!K13

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Selection · Balances Selected for Confirmation

$9,857,910.00

Workbook: Selection!B27

Draft figure · the CPA reviews and concludes

Selection!B27 = $9,857,910.00

=B8+B9+B10+B11+B12+B13+B14+B15+B16+B24

Selection!B8 = $4,075,500.00

='E02 Aging'!F8+'E02 Aging'!F9

E02 Aging!F8 = $1,957,000.00

E02 Aging!F9 = $2,118,500.00

Selection!B9 = $1,444,000.00

='E02 Aging'!F10

E02 Aging!F10 = $1,444,000.00

Selection!B10 = $997,500.00

='E02 Aging'!F11

E02 Aging!F11 = $997,500.00

Selection!B11 = $1,068,400.00

='E02 Aging'!F12

E02 Aging!F12 = $1,068,400.00

Selection!B12 = $642,000.00

='E02 Aging'!F13

E02 Aging!F13 = $642,000.00

Selection!B13 = $538,600.00

='E02 Aging'!F14

E02 Aging!F14 = $538,600.00

Selection!B14 = $412,500.00

='E02 Aging'!F15

E02 Aging!F15 = $412,500.00

Selection!B15 = $214,600.00

='E02 Aging'!F16

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F8, Aging!F9, Aging!F10, Aging!F11, Aging!F12, Aging!F13

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Confirmations · Differences in the Replies

$2,026,850.00

Workbook: Confirmations!D19

Draft figure · the CPA reviews and concludes

Confirmations!D19 = $2,026,850.00

=B19-C19

Confirmations!B19 = $8,673,475.00

=B8+B9+B11+B12+B13+B14+B15+B17

Confirmations!B8 = $4,075,500.00

='Selection'!B8

Selection!B8 = $4,075,500.00

='E02 Aging'!F8+'E02 Aging'!F9

E02 Aging!F8 = $1,957,000.00

E02 Aging!F9 = $2,118,500.00

Confirmations!B9 = $1,444,000.00

='Selection'!B9

Selection!B9 = $1,444,000.00

='E02 Aging'!F10

E02 Aging!F10 = $1,444,000.00

Confirmations!B11 = $1,068,400.00

='Selection'!B11

Selection!B11 = $1,068,400.00

='E02 Aging'!F12

E02 Aging!F12 = $1,068,400.00

Confirmations!B12 = $642,000.00

='Selection'!B12

Selection!B12 = $642,000.00

='E02 Aging'!F13

E02 Aging!F13 = $642,000.00

Confirmations!B13 = $538,600.00

='Selection'!B13

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F8, Aging!F9, Aging!F10, Aging!F12, Aging!F13, Aging!F14

02 Confirmations/Customer confirmation replies.pdf · PDF pages 1 to 8; each customer's signed reply: balance, retainage and exceptions

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Differences · Pier Nine Check in Transit

$1,957,000.00

Workbook: Differences!C8

Draft figure · the CPA reviews and concludes

Differences!C8 = $1,957,000.00

='E06 Receipts'!D8

E06 Receipts!D8 = $1,957,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 After Year End/July and August 2026 cash receipts.xlsx · Cash Receipts!D8

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Differences · Kestrel Point Credit Not Recorded (AR-01)

$28,600.00

Workbook: Differences!C9

Draft figure · the CPA reviews and concludes

Differences!C9 = $28,600.00

='E07 Collection Notes'!B10

E07 Collection Notes!B10 = $28,600.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Collections/Credits, disputes and collection notes.docx · Word document; the controller’s notes on credits, disputes and collections of September 4, 2026

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Differences · Brindlewood Damages Withheld (AR-02)

$41,250.00

Workbook: Differences!C10

Draft figure · the CPA reviews and concludes

Differences!C10 = $41,250.00

='E07 Collection Notes'!B12

E07 Collection Notes!B12 = $41,250.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Collections/Credits, disputes and collection notes.docx · Word document; the controller’s notes on credits, disputes and collections of September 4, 2026

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Allowance · Corliss Allowance to Consider (AR-03)

$186,935.00

Workbook: Allowance!B13

Draft figure · the CPA reviews and concludes

Allowance!B13 = $186,935.00

=B9-B10-B11

Allowance!B9 = $186,935.00

='Selection'!B16

Selection!B16 = $186,935.00

='E02 Aging'!F17

E02 Aging!F17 = $186,935.00

Allowance!B10 = $0.00

='Alternative'!C10

Alternative!C10 = $0.00

=0

Allowance!B11 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F17

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Retainage · Retainage Recomputed

$1,161,125.00

Workbook: Retainage!C13

Draft figure · the CPA reviews and concludes

Retainage!C13 = $1,161,125.00

=SUM(C8:C11)

Retainage!C8 = $699,000.00

=ROUND(B8*B17,2)

Retainage!B8 = $13,980,000.00

='E03 Job Schedule'!L8

E03 Job Schedule!L8 = $13,980,000.00

Retainage!B17 = 5.000%

Retainage!C9 = $345,000.00

=ROUND(B9*B17,2)

Retainage!B9 = $6,900,000.00

='E03 Job Schedule'!L9

E03 Job Schedule!L9 = $6,900,000.00

Retainage!C10 = $102,500.00

=ROUND(B10*B17,2)

Retainage!B10 = $2,050,000.00

='E03 Job Schedule'!L10

E03 Job Schedule!L10 = $2,050,000.00

Retainage!C11 = $14,625.00

=ROUND(B11*B17,2)

Retainage!B11 = $292,500.00

='E03 Job Schedule'!L11

E03 Job Schedule!L11 = $292,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 30 2026 contract schedule.xlsx · Jun 30 2026!L8, Jun 30 2026!L9, Jun 30 2026!L10, Jun 30 2026!L11

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Confirmations · Juniper Row, Confirmed by an Affiliate (RP-01)

$277,875.00

Workbook: Confirmations!B17

Draft figure · the CPA reviews and concludes

Confirmations!B17 = $277,875.00

='Selection'!B24

Selection!B24 = $277,875.00

='E02 Aging'!F25

E02 Aging!F25 = $277,875.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F25

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Known Misstatements, Added Up

$28,600.00

Workbook: Adjustments!B12

Draft figure · the CPA reviews and concludes

Adjustments!B12 = $28,600.00

=B8

Adjustments!B8 = $28,600.00

='Differences'!C9

Differences!C9 = $28,600.00

='E07 Collection Notes'!B10

E07 Collection Notes!B10 = $28,600.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Collections/Credits, disputes and collection notes.docx · Word document; the controller's notes on credits, disputes and collections of September 4, 2026

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · All Three, If Recorded

$256,785.00

Workbook: Adjustments!B13

Draft figure · the CPA reviews and concludes

Adjustments!B13 = $256,785.00

=B8+B9+B10

Adjustments!B8 = $28,600.00

='Differences'!C9

Differences!C9 = $28,600.00

='E07 Collection Notes'!B10

E07 Collection Notes!B10 = $28,600.00

Adjustments!B9 = $41,250.00

='Differences'!C10

Differences!C10 = $41,250.00

='E07 Collection Notes'!B12

E07 Collection Notes!B12 = $41,250.00

Adjustments!B10 = $186,935.00

='Allowance'!B13

Allowance!B13 = $186,935.00

=B9-B10-B11

Allowance!B9 = $186,935.00

='Selection'!B16

Selection!B16 = $186,935.00

='E02 Aging'!F17

E02 Aging!F17 = $186,935.00

Allowance!B10 = $0.00

='Alternative'!C10

Alternative!C10 = $0.00

=0

Allowance!B11 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Collections/Credits, disputes and collection notes.docx · Word document; the controller’s notes on credits, disputes and collections of September 4, 2026

01 Client Accounting/June 30 2026 receivables aging.xlsx · Aging!F17

Original documents are attached to this PDF. The workbook is attached too.

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WHAT STILL NEEDS A PERSON

AR-01 · $28,600.00: Kestrel Point Hotel Partners confirmed $510,000.00 against the books' $538,600.00. HGC agreed in writing on June 18, 2026 to credit $28,600.00 for damaged corridor finishes and issued credit memo CM-0627 on July 8, recording it in July. At June 30 revenue and contract receivables are overstated by $28,600.00. Proposed: debit contract revenue, credit 1200, $28,600.00. 8.4% of materiality: passed if the client declines. The machine never posts.

AR-02 · $41,250.00: Brindlewood School District No. 14 confirmed $371,250.00 of the $412,500.00 retainage release and paid that on August 19, 2026. It withholds $41,250.00 as liquidated damages, 15 days at $2,750.00, under section 8.3. HGC asked on July 20 for a 12-day extension for the district's own delay and has no answer. The CPA reads the contract, the schedule and the extension request and decides whether the amount is collectible or reduces revenue.

AR-03 · $186,935.00: Corliss Medical Group owes $186,935.00 on a final billing of January 22, 2026, more than 90 days past due at June 30. It did not reply to the confirmation or the second request, paid nothing through August 31, disputes the change order work and has not answered HGC's letters; HGC filed a lien on February 27. No allowance is recorded. The CPA decides the allowance, up to the full balance.

RP-01 · $277,875.00: HANGS Construction Development LP, under the same owners, confirmed the $277,875.00 it owes for Juniper Row and $14,625.00 of retainage. An affiliate's reply is not independent evidence; the receipt of July 20 corroborates it. The CPA decides the related party disclosure.

MAT-01 · $340,000.00: Materiality is proposed at $340,000.00, 0.5% of the year's revenue, with performance materiality $255,000.00 and clearly trivial $17,000.00. The engagement partner sets the final amounts.

REP-01: No management representation letter has been obtained. It should cover the receivables, the credits agreed before the year end and the disputes.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent.

This memo is a draft for the engagement partner. It is not an audit report and expresses no opinion; nothing has been signed, posted or sent.

DRAFT FOR THE CPA